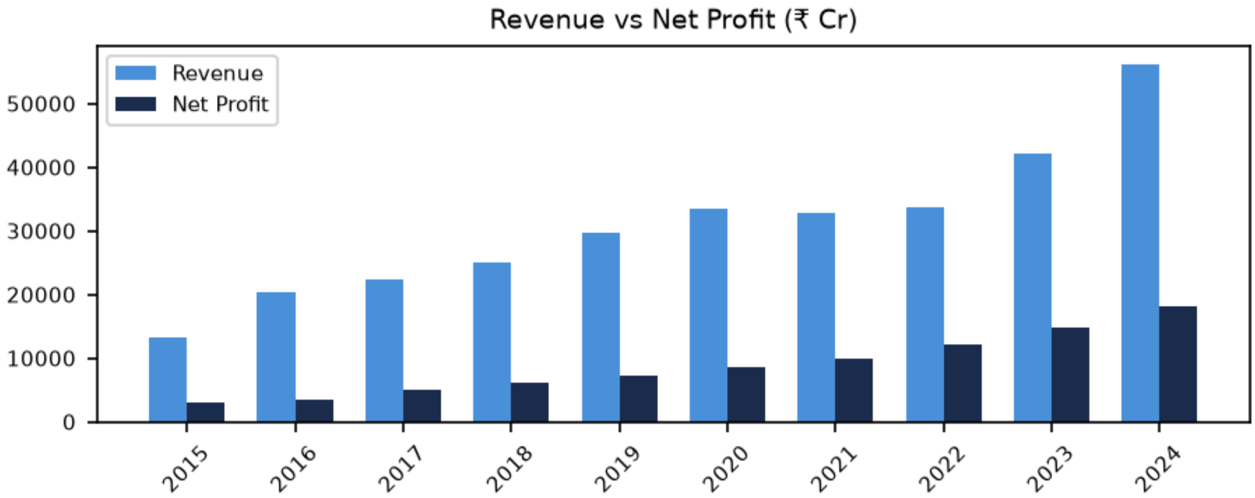
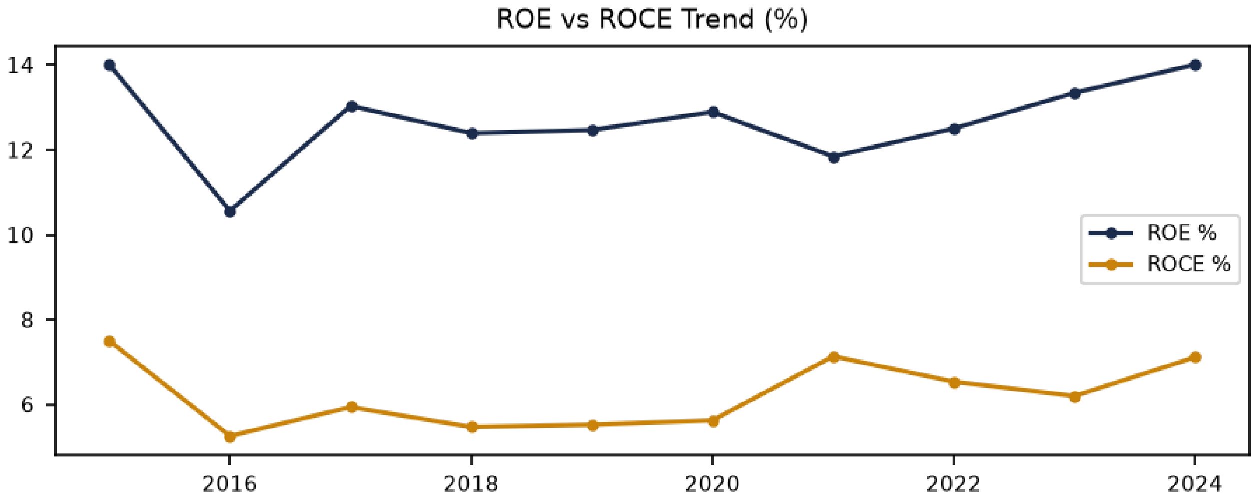
Kotak Mahindra Bank Ltd

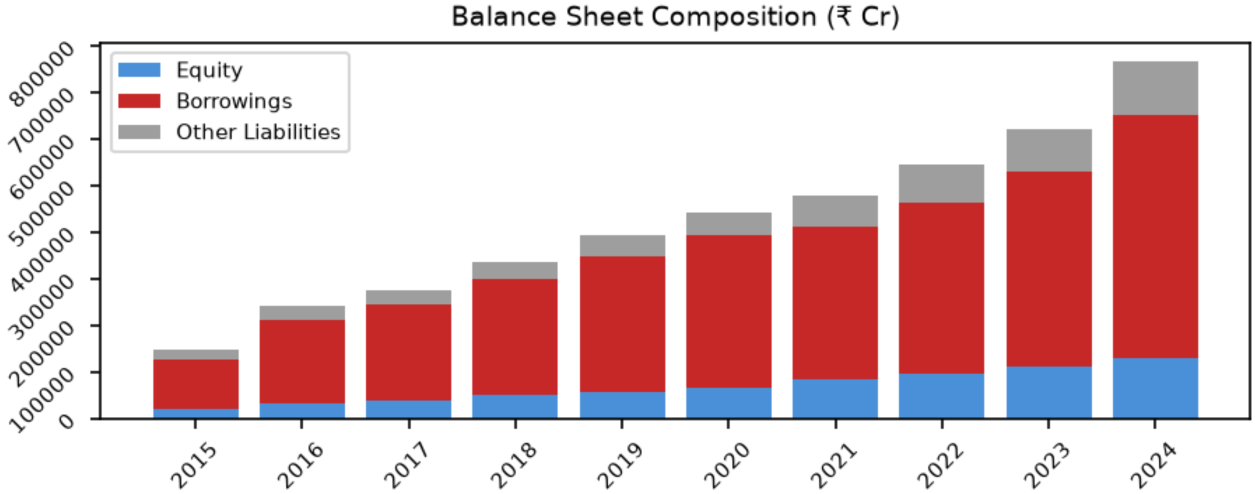
KOTAKBANK · Financials

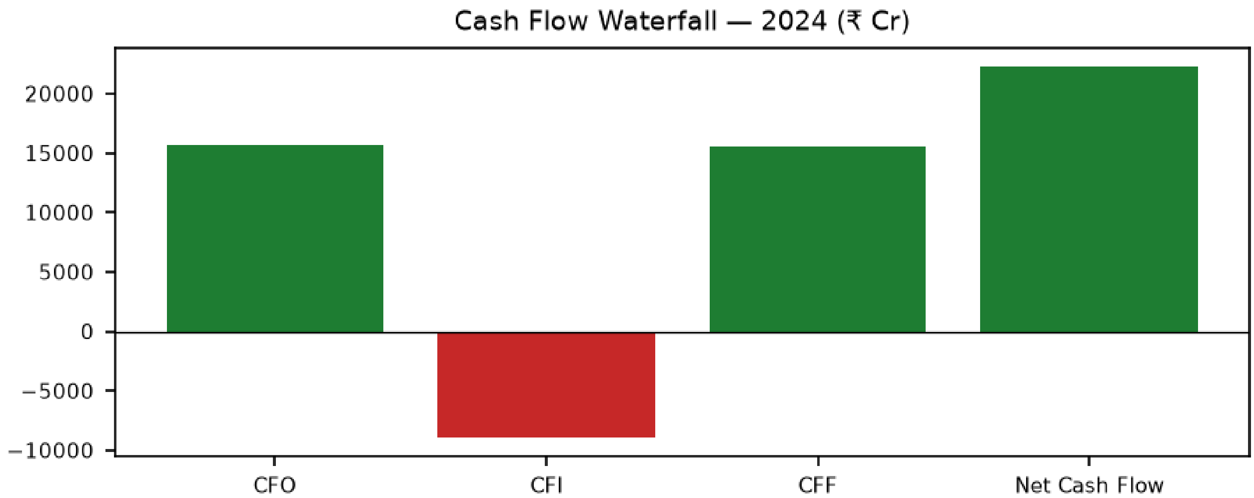
ROE	ROCE	Net Profit Margin
14.0%	7.1%	32.4%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
4.00	13.5%	■6,766 Cr









Pros	*Cons*
✓ Return on equity improving for 3 consecutive years shows strengthening business quality	✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline	✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value	

Capital Allocation: Growth Financing